CHAPTER 16

Income Bonds and Guaranteed Securities

I. INCOME BONDS

The contractual position of an income bond (sometimes called an adjustment bond) stands midway between that of a straight bond and a preferred stock. Practically all income obligations have a definite maturity, so that the holder has an unqualified right to repayment of his principal on a fixed date. In this respect his position is entirely that of the ordinary bondholder. However, it should be pointed out that income bonds are almost always given a long maturity date, so that the right of repayment is not likely to be of practical importance in the typical case studied. In fact we have discovered only one instance of income bondholders actually having received repayment of their principal in full by reason of maturity.[1]

Interest Payment Sometimes Wholly Discretionary. In the matter of interest payments some income bonds are almost precisely in the position of a preferred stock, because the directors are given practically complete discretion over the amounts to be paid to the bondholders. The

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[1] This was a $500,000 issue of Milwaukee Lake Shore and Western Income 6s, issued in 1881, assumed by the Chicago and Northwestern in 1891, and paid off at maturity in 1911. St. Louis-San Francisco Railway Company Income 6s and Adjustment 6s were both *called* for repayment at par in 1928, which was 32 and 27 years, respectively, prior to their maturity. This proved fortunate for the bondholders since the road went into receivership in 1932. The history of the 'Frisco between its emergence from receivership in 1916 and its subsequent relapse into receivership in 1932 is an extraordinary example of the heedlessness of both investors and speculators, who were induced by a moderate improvement, shown in a few years of general prosperity, to place a high rating on the securities of a railroad with a poor previous record and a top-heavy capital structure.